

Trial Transcript Day Three: Cobalt Finch and Mitigation

October 8, 2025 — witness taken by agreement

THE COURT: Members of the jury, today's evidence concerns an opportunity that arose after Blue Ember rejected the validation lot. The Court has allowed Granite Heron to examine Dr. Nia Calder first because Cobalt Finch is not a party and the witness has a limited schedule. This order does not change either party's burden.

MR. MERCER: Granite Heron calls Dr. Nia Calder.

CLERK: Dr. Calder, do you swear that the testimony you give will be truthful?

DR. CALDER: I do.

MR. MERCER: Dr. Calder, are you offering opinions on carrier liability or the amount this jury should award?

DR. CALDER: No. I am here to describe Cobalt Finch's capacity, proposal, process, cost estimate, and uncertainty as they existed in October 2024.

Q. Is Cobalt Finch a litigant?

A. No. It responded to third-party discovery and was reimbursed for reasonable time.

Q. Did counsel ask you to turn hindsight into a guarantee?

A. No. I will distinguish what we knew, what we proposed to learn, and what no one could promise.

Cobalt Finch and Dr. Calder's role

Q. Where was the proposed work located?

A. At Cobalt Finch Bioprocessing, 720 Meridian Commons Drive in Durham.

Q. What was your position?

A. Director of Technical Operations. I evaluated incoming processes, coordinated suite availability, and developed transfer plans with quality, finance, and operations colleagues.

Q. Describe the facility generally.

A. It handled development-stage biologics, including controlled frozen materials, using a fictional single-use processing train, trained operators, a quality system, and analytical support.

Q. Had Cobalt Finch made BE-214 before?

A. No.

Q. Does that mean it lacked all relevant capability?

A. No. Program experience and platform capability are different. We had a suitable foundation but needed a BE-214 transfer and sponsor approval.

Q. Who would approve the program-specific change?

A. Blue Ember retained its sponsor-side quality decision. Cobalt Finch could demonstrate its systems and complete assigned work.

Q. Could you promise a regulatory outcome?

A. No, and the proposal did not attempt to do so.

Q. Were you authorized to speak for Blue Ember's quality organization?

A. No. My role ended at describing what Cobalt Finch could offer and perform.

Origin of the capacity inquiry

Q. When did you first hear about the possible need?

A. Near the end of September 2024, after a validation lot had been rejected following transport.

Q. What information reached you?

A. A high-level process description, scale, product class, frozen controls, desired timing, and key equipment needs. Detailed batch and analytical files were not yet transferred.

Q. Why did Cobalt Finch have an opening?

A. Another fictional sponsor moved a campaign, leaving a suite window beginning in early December.

Q. Did you hold that opening for Blue Ember immediately?

A. We performed a preliminary fit review, then placed a short hold while Blue Ember evaluated the proposal.

Q. Was Granite Heron involved in creating the offer?

A. No. We dealt with Blue Ember and its authorized capacity channel during the decision period.

Q. Did you know the carrier might later assert mitigation?

A. Not when we prepared the proposal. We were seeking a manufacturing engagement.

Q. Did you inspect the rejected lot?

A. No. Our proposal concerned producing replacement material, not releasing the exposed lot.

The October 2 proposal

Q. When did Cobalt Finch issue its writing?

A. October 2, 2024.

Q. What did it reserve?

A. A Durham suite window for a campaign planned to start December 2, conditioned on prompt acceptance and completion of the transfer schedule.

Q. Was the date simply a marketing aspiration?

A. No. The slot existed on our capacity calendar, and we held it temporarily rather than offer it elsewhere.

Q. What did the proposal include besides a date?

A. Preliminary equipment fit, a workstream outline, staffing assumptions, an estimated incremental budget, readiness milestones, and staged commercial terms.

Q. Did it say BE-214 was already approved at Cobalt Finch?

A. No. It explained that transfer and qualification work remained.

Q. Would signing make the final batch automatically releasable?

A. No. It would reserve capacity and begin the work leading to a later readiness decision.

Q. Was an actual team available?

A. We had planned technical, quality, and operations resources contingent on timely booking.

Q. Did the proposal identify that contingency openly?

A. Yes. Staffing depended on reservation and prompt sponsor participation.

Acceptance deadline and commitment

Q. What deadline did Cobalt Finch set?

A. October 4 at 17:00 Eastern Daylight Time.

Q. Why only about forty-eight hours?

A. Another sponsor wanted the opening, and the proposed transfer had to begin the following week. Holding scarce capacity prevents us from selling it elsewhere.

Q. What would acceptance do commercially?

A. Reserve the suite, authorize defined preliminary work, commit Blue Ember to staged charges, and launch controlled document exchange.

Q. Would the entire estimate become nonrefundable at once?

A. No. Charges accrued by milestone, although the capacity reservation and completed work could create cancellation liability.

Q. Could Blue Ember walk away without consequence after an audit?

A. It could stop for a critical issue, but work performed and certain reserved-capacity charges would remain payable.

Q. Was a deadline extension guaranteed?

A. No. We said a short extension might be possible if the competing customer had not committed.

Q. Did the other customer ultimately book the window?

A. Yes, after Blue Ember declined and the hold ended.

Facility capability

Q. What supported your preliminary fit conclusion?

A. The suite's scale, single-use configuration, utilities, controlled environment, cold receiving, staffing, and experience with comparable development work.

Q. Did you identify a known fatal mismatch?

A. No. Several parameters required confirmation, but none in the information supplied made the process facially impossible.

Q. Could the site handle material between minus eighty and minus sixty degrees?

A. Yes, under an approved receiving and storage plan.

Q. Were all analytical methods already installed?

A. No. We expected some transfer, and some testing could remain with Blue Ember or another approved laboratory.

Q. Did you have trained personnel for December?

A. We could assign and train an appropriate team if the booking occurred promptly.

Q. Did general capability equal BE-214 qualification?

A. No. Qualification is program specific and would require records and approvals.

Q. Why was the general capability still relevant?

A. It reduced the amount of new infrastructure and made an accelerated transfer technically plausible.

Q. Was the suite otherwise idle and unequipped?

A. No. It was an operating development suite with a temporary calendar opening.

Preliminary process fit

Q. What did Cobalt Finch compare before making the offer?

A. Available process scale, main equipment functions, materials format, frozen handling, staffing needs, and the rough sequence of operations.

Q. What remained to be compared?

A. Detailed batch parameters, mixing equivalence, specific materials, analytical responsibilities, cleaning considerations, and document alignment.

Q. Did Blue Ember supply every controlled document by October 2?

A. No. The proposal described a plan for transfer after commitment.

Q. Could a detailed review reveal a new problem?

A. Yes. That is one reason for the readiness gate.

Q. Did you expect most gaps to be manageable?

A. Based on the preliminary information, yes. We characterized the path as feasible with elevated schedule risk.

Q. Did “feasible” mean certain?

A. No. It meant capable of execution with the identified work, not guaranteed outcome.

Q. Would Cobalt Finch skip a critical control to preserve the slot?

A. No. Acceleration meant parallel work and faster review, not removal of necessary safeguards.

Q. Did Blue Ember receive the preliminary mismatch list?

A. Yes. It could see which subjects were cleared provisionally and which required detailed follow-up.

Proposed transfer calendar

Q. What was scheduled first?

A. A kickoff on October 7, followed by focused gap assessment through October 11.

Q. Was there an on-site activity?

A. We proposed an assessment on October 14 and 15, assuming timely access and participants.

Q. What work followed?

A. Batch-record mapping, equipment confirmation, materials, method responsibilities, operator preparation, and change-control resolution into early November.

Q. What was planned for November 11 through 15?

A. An engineering confirmation and readiness exercise.

Q. When was the final preproduction gate?

A. November 22.

Q. What happened if a critical gap remained then?

A. The parties could defer or cancel rather than manufacture without readiness.

Q. What did the December 2 date represent?

A. The planned start of manufacturing activity, not final quality release.

Q. When was initial campaign completion targeted?

A. Around December 20, followed by testing and record disposition.

Q. Were material-order deadlines built into that calendar?

A. Yes. Blue Ember had to release specified inputs promptly after kickoff.

Q. Could delay in document delivery move the engineering exercise?

A. It could, because downstream training and batch preparation depended on those records.

Q. Did the schedule include ordinary review time after production?

A. Yes, though the duration could change with results or deviations.

Quality review and sponsor control

Q. Which topics required Blue Ember approval?

A. Facility suitability, process mapping, batch documents, analytical allocation, materials, training, comparability, and program change control.

Q. Had an on-site audit occurred by October 4?

A. No.

Q. Did Cobalt Finch refuse one?

A. No. A focused review was in the proposed calendar.

Q. Were known major findings concealed?

A. We disclosed no known condition that made the suite unavailable. Blue Ember still needed its own assessment.

Q. Could approval be staged?

A. Development programs can use documented conditions and risk-based sequencing, subject to the sponsor's system.

Q. Did Cobalt Finch control Blue Ember's quality standard?

A. No. We would meet agreed requirements or stop if we could not.

Q. Was the November gate meaningful?

A. Yes. It prevented the capacity commitment from becoming automatic permission to manufacture regardless of gaps.

Q. Could a failed readiness decision still cost money and time?

A. Yes. That downside was part of the decision.

Q. Was the readiness panel solely Cobalt Finch personnel?

A. No. The proposed decision required input and approval from both organizations within their assigned responsibilities.

Incremental cost estimate

Q. What was the estimate discussed with Blue Ember?

A. Approximately 300,000 dollars of incremental transfer and qualification cost beyond an ordinary replacement campaign.

Q. What did it include?

A. Transfer coordination, focused facility qualification, document adaptation, selected analytical work, training, engineering confirmation, and an expedited-capacity premium.

Q. Did it include the full cost of making a replacement lot?

A. No. Blue Ember would incur ordinary replacement manufacturing at whichever site it selected. We were identifying the added cost of our accelerated route.

Q. Was 300,000 a guaranteed cap?

A. No. It depended on assumptions that detailed diligence could change.

Q. Was it invented for this lawsuit?

A. No. The estimate appeared in the October proposal process.

Q. Could it be lower?

A. Yes, if transfer occurred cleanly and contingencies were not used.

Q. Could it be higher?

A. A material method or equipment issue could increase work. No such issue was known by the deadline.

Q. Did the estimate contain any amount for claimed lost contribution?

A. No. It was a service-cost estimate, not a valuation of Blue Ember's economic loss.

Risk and expected outcome

Q. Identify the important risks.

A. Document completeness, equipment differences, material lead time, analytical transfer, audit findings, staff preparation, process performance, and schedule compression.

Q. Did Cobalt Finch assign a numerical chance of success?

A. No. We used qualitative risk language.

Q. Why not promise a percentage?

A. Detailed transfer had not begun, so numerical precision would have implied knowledge we did not possess.

Q. Did uncertainty make the slot fictitious?

A. No. Capacity and uncertainty can both be real.

Q. Could a sponsor reasonably consider the option?

A. Yes. We believed a prepared team could pursue it responsibly.

Q. Could a sponsor also prefer an established site?

A. Yes, depending on its risk tolerance, resources, and assessment of threatened delay.

Q. Did Cobalt Finch tell Blue Ember it would certainly save 1.8 million dollars?

A. No. We had not analyzed its damages.

Q. Did you tell it the campaign could not succeed?

A. No. We proposed the work because we believed it was achievable.

Q. Would the word “elevated” ordinarily call for active risk management?

A. Yes. It did not mean abandonment; it meant milestones, owners, and stop criteria mattered.

Cross-examination by Blue Ember — missing work

MS. HOLT: On October 4, Cobalt Finch did not possess the complete controlled batch record, correct?

DR. CALDER: Correct.

Q. It had not completed equipment equivalence?

A. Correct.

Q. It had not transferred every analytical responsibility?

A. Correct.

Q. Blue Ember had not approved the facility for BE-214?

A. Correct.

Q. No engineering confirmation had occurred?

A. Correct. That was planned for November.

Q. The readiness gate could produce a no-go decision?

A. Yes.

Q. A no-go decision could leave Blue Ember still needing Aurora Quay?

A. Yes.

Q. And some transfer spending would already be incurred?

A. Yes, depending on the point of stopping.

Q. So the offer was not the same as a completed, approved replacement campaign?

A. It was an opportunity and workplan, not a completed result.

Q. Had Cobalt Finch confirmed the exact availability of every starting material?

A. No. Blue Ember needed to supply or release some inputs on the accelerated calendar.

Q. Had operator training on the final batch record begun?

A. No final record existed yet, so that training necessarily followed document adaptation.

Q. Could the site audit identify remediation that missed December?

A. Yes, depending on any finding's significance and correction time.

Cross-examination — commitment and resources

Q. Did Cobalt Finch offer a free hold through completion of an audit?

A. No.

Q. Could Blue Ember reserve the suite without assigning technical staff?

A. Not realistically. Prompt sponsor participation was essential.

Q. Would pursuing two sites divide personnel?

A. It could. Blue Ember would decide how to staff parallel contingency work.

Q. Did your proposal guarantee preservation of the March Aurora Quay reservation?

A. No. We did not control that contract.

Q. Was cancellation exposure fully fixed before October 4?

A. It was described by stages, but final contracting details remained.

Q. Could materials fail to arrive for December?

A. Yes, unless Blue Ember met the schedule.

Q. Could detailed review expand the 300,000-dollar estimate?

A. Yes.

Q. Did Blue Ember ask reasonable technical questions?

A. It did.

Q. Did Cobalt Finch answer all of them conclusively during the hold?

A. No. Some answers required work after booking.

Q. Did your proposal allocate every method to a named laboratory?

A. Not finally. It proposed options that needed sponsor agreement.

Q. Was the competing-customer deadline within Blue Ember's control?

A. No. It arose from our capacity market and made additional free diligence time uncertain.

Cross-examination — schedule uncertainty

Q. December 2 was a manufacturing start, not a released-lot date?

A. Correct.

Q. Initial completion around December 20 still required testing and review?

A. Yes.

Q. A deviation could extend that timing?

A. Yes.

Q. Could Blue Ember know on October 4 that the November gate would pass?

A. It could assess likelihood, not know with certainty.

Q. Did you prepare a probability tree for Blue Ember?

A. No numerical tree was delivered.

Q. Did you compare Cobalt Finch with Aurora Quay's established history?

A. We knew an established alternative existed but did not audit its readiness or commercial terms.

Q. Did you warrant a three-month final program advantage?

A. We described a substantially earlier manufacturing start. Later milestone effect belonged to Blue Ember's analysis.

Q. So an expert must add assumptions to quantify avoided loss?

A. Yes. My testimony supplies capacity, tasks, timing, and cost facts.

Q. Could a December manufacturing start still lead to a February disposition?

A. It could if testing, review, or a deviation took longer than planned.

Q. Did your calendar assign consequences to every possible failure?

A. No. It was an executable base plan with risks, not an exhaustive probability model.

Cross-examination — no damages opinion

Q. Have you audited Blue Ember's 2 million dollar delay model?

A. No.

Q. Can you tell the jury that 1.8 million dollars would certainly be saved?

A. No.

Q. Can you determine what mitigation instruction the Court should give?

A. No.

Q. Did Cobalt Finch decide that Blue Ember acted unreasonably?

A. No. We accepted its decision and released the slot.

Q. Does another sponsor's later booking prove BE-214 would work?

A. No. It proves the capacity was genuine.

Q. Did you later run the complete BE-214 process?

A. No.

Q. Can hindsight replace the October information?

A. No. Later review can explain terms but not remove what remained unknown then.

Q. Is your testimony neutral as to the verdict?

A. Yes. I can say the option was feasible with risk, and both aspects should be considered.

Q. Did Cobalt Finch invoice Granite Heron for the unused slot?

A. No. There was no contract between them.

Q. Did you determine whether the master transport agreement allocated this later decision?

A. No. I did not interpret the parties' contract.

Q. Can you say which party bears a burden of proof?

A. No. That is a legal instruction for the Court.

Redirect examination by Granite Heron

MR. MERCER: Did any missing document known October 4 make transfer impossible?

DR. CALDER: No known item did. Missing detail required work, not a known fatal barrier.

Q. Was the suite physically and commercially available?

A. Yes, until the hold expired.

Q. Did Cobalt Finch have a method for addressing uncertainty?

A. Yes. Staged gap review, focused assessment, engineering confirmation, and the November readiness gate.

Q. Would a reasonable developer ever reserve capacity before qualification is complete?

A. Yes. Scarce capacity is often booked while controlled diligence continues.

Q. Did the proposal ask Blue Ember to manufacture without approval?

A. No.

Q. Was the incremental estimate small compared with the delay amount later asserted?

MS. HOLT: Objection, assumes the damages opinion.

THE COURT: Sustained as phrased.

Q. Was the estimate communicated so Blue Ember could compare it with its own threatened loss?

A. Yes.

Q. Did you believe the calendar was credible when issued?

A. I did, provided both sides performed promptly.

Q. Was that belief recorded before the litigation?

A. Yes. The contemporaneous fit review and proposal support explain why we offered the slot.

Questions from the Court

THE COURT: Dr. Calder, I want to clarify terms for the jury. When you say “available,” do you mean already approved for BE-214?

DR. CALDER: No, Your Honor. I mean a real suite and team could be reserved for the proposed transfer and campaign.

THE COURT: When you say “feasible,” do you mean guaranteed?

DR. CALDER: No. I mean no known barrier made the plan impracticable, and the proposed tasks could lead to readiness on schedule.

THE COURT: Did the 300,000-dollar estimate include ordinary replacement manufacture?

DR. CALDER: No. It represented added transfer and qualification cost for the accelerated site.

THE COURT: Was December 20 final program approval?

DR. CALDER: No. It was a preliminary campaign-completion target before testing and disposition.

THE COURT: Counsel, any follow-up limited to those answers?

MS. HOLT: None.

MR. MERCER: None.

THE COURT: Dr. Calder is excused subject to recall only for good cause. The jury should use her terms with the distinctions she gave.

Dr. Solis recalled — Blue Ember's evaluation

MS. HOLT: What did Blue Ember do after receiving the offer?

DR. SOLIS: Operations, quality, technical, and finance staff reviewed the fit summary, proposed schedule, costs, and open questions. We exchanged written questions and held a call with Dr. Calder.

Q. What concerns remained?

A. Equipment mapping, analytical responsibility, controlled documents, materials, audit completion, batch alignment, staff diversion, cancellation exposure, and the chance that failed acceleration would leave us no earlier.

Q. Was the 300,000 dollars unaffordable?

A. No. The primary issue was expected execution and validation value, not access to the money alone.

Q. Why not book and decide later?

A. Booking committed resources and could impair the established path. We did not view the downside as a simple refundable option fee.

Q. What did Blue Ember choose?

A. To preserve the qualified Aurora Quay campaign scheduled for March 3.

Q. Was that decision recorded before this lawsuit?

A. Yes, in the nonprivileged change-control and program decision materials.

Cross-examination of Solis on mitigation

MR. MERCER: You agree there was no known fatal mismatch?

DR. SOLIS: No fatal mismatch had been identified in the limited preliminary review.

Q. Cobalt Finch offered a readiness process rather than asking you to skip one?

A. Yes, but the process itself had to succeed under a compressed schedule.

Q. Did Blue Ember assign a numerical likelihood?

A. Not during the deadline. We used qualitative risk and scenario discussion.

Q. Did you ask for Granite Heron to finance the commitment unconditionally?

A. We discussed claims, but no no-risk funded alternative existed before the deadline.

Q. Would a December campaign have been earlier than March if successful?

A. Yes.

Q. Was the threatened delay worth more than 300,000 dollars under your own model?

A. The potential benefit was larger. The dispute is the likelihood and downside of achieving it.

Q. Did Blue Ember attempt to negotiate a staged acceptance?

A. We explored terms but did not secure an arrangement that resolved our concerns before the hold expired.

Q. Did preference for a familiar site influence you?

A. Established readiness was a substantive risk factor, not mere convenience.

Redirect and decision framework

MS. HOLT: Could Blue Ember evaluate Cobalt Finch with knowledge gained after October 4?

DR. SOLIS: No. We had to decide with incomplete transfer information and a short commercial clock.

Q. Did a possible benefit make every downside immaterial?

A. No. A failed transfer could spend money, consume experts, disrupt Aurora planning, and still deliver no validation lot before March.

Q. Did Blue Ember conclude Cobalt Finch was incompetent?

A. No. We concluded program readiness was insufficiently established for the commitment then demanded.

Q. Is that different from saying success was impossible?

A. Yes. We made a risk decision, not a claim of impossibility.

Q. Should an alternative cost be considered if the jury finds the path reasonable?

A. Yes. Any avoided loss should be evaluated net of the expense required to obtain it.

Q. Does Blue Ember ask for the 300,000 dollars as actual spending?

A. No. We never incurred it. It belongs only in the hypothetical mitigation calculation.

Q. Can the jury select a partial deduction?

A. Under the Court's instructions, it can determine the net amount the evidence supports.

Admission of mitigation exhibits and recess

THE COURT: The October 2 offer, capacity calendar, preliminary fit assessment, workplan, question log, and nonprivileged decision record are admitted under the parties' foundation agreement. Commercial and technical summaries remain subject to the testimony explaining their limitations.

The jury must not equate "available" with completed program qualification or "risk" with impossibility. You will later hear expert views about dollars. Dr. Calder did not give a damages opinion, and Dr. Solis did not give the Court's legal instruction.

MR. MERCER: Granite Heron offers a demonstrative comparing the proposed December start with the March Aurora Quay start.

MS. HOLT: No objection if it is labeled as a demonstrative and includes the November readiness gate and later testing.

THE COURT: It may be used on that basis and will not go to the jury as independent evidence unless admitted later.

Members of the jury, we will adjourn. Tomorrow you will hear the economic experts. Their methods depend on factual assumptions, and you remain free to evaluate those assumptions. Do not discuss the case or conduct any research.

CLERK: Court is recessed until October 9 at 9:00 a.m.